

Liquidity Budgeting Analysis

Consulting Project: Real Estate Portfolio Management

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1 Introduction

This report details a liquidity budgeting analysis for a real estate portfolio consisting of three residential rental units. The project objectives are to develop a robust Excel-based liquidity management framework and to conduct a 12-month cash flow projection. The model provides management with the ability to monitor liquidity, evaluate capital requirements, and perform sensitivity analysis regarding occupancy timing and expense management.

2 Case Description

The portfolio consists of three units with the following operational parameters:

- **Apartment 1 (Fully Occupied):** Monthly rent of \$345; variable costs include water (\$20/tenant). Fixed costs include a condo fee of \$122 and debt service of \$43. A non-recurring \$700 maintenance expenditure is scheduled for March.
- **Apartment 2 (Vacant):** Expected occupancy in March. Monthly rent of \$440 (inclusive of water). Monthly condo fee: \$202.
- **Apartment 3 (Under Renovation):** Renovation duration of 4 months with a total budget of \$4,000. Expected post-renovation rent: \$600/month. Monthly condo fee: \$121; debt service: \$44.

Additional operating costs include bookkeeping, insurance, taxes, and quarterly miscellaneous expenses. The initial cash balance is \$2,300.

3 Liquidity Budgeting Model

The 12-month model evaluates cash flow trajectories, net liquidity positions, and external financing requirements. The primary objective is to maintain a non-negative cash balance. Where shortfalls occur, external financing is modeled in \$1,000 increments.

4 Key Findings

4.1 Liquidity Shortfall and Financing

The base-case analysis indicates a liquidity deficit for three consecutive months. To maintain solvency, external capital injection is required.

4.2 Break-Even Analysis

The break-even analysis calculated the rent increase necessary to eliminate the need for external financing. The required rent adjustment is approximately 241%. Given this magnitude, an adjustment of this scale is commercially unfeasible, confirming that external bridge financing is an unavoidable component of the current renovation strategy.

Note: Goal Seek analysis was utilized to determine this value; however, due to the high sensitivity of the model to initial conditions and discontinuous cash outflows, this figure serves as an indicator of structural funding needs rather than a target strategy.

5 Sensitivity and Scenario Analysis

5.1 Sensitivity Drivers

Analysis confirms that the early-month cash position is the primary driver of liquidity risk. Specifically, delaying the scheduled refrigerator replacement beyond May provides no liquidity benefit, as the funding gap is concentrated in the first fiscal quarter.

5.2 Scenario Outcomes

Scenario	Required Funding
Positive	\$2,000
Realistic	\$4,000
Pessimistic	\$6,000

6 Strategic Recommendations

The renovation duration significantly impacts the funding burden.

- **Operational Efficiency:** Reducing renovation duration from 4 months to 2 months reduces financing requirements by approximately \$1,000–\$2,000.
- **Rental Timing:** Eliminating rental delays for Apartment 2 is critical.
- **Cash Management:** The company should maintain a minimum cash buffer to mitigate the risks identified in the pessimistic scenario.

7 Deliverables

The provided Excel model includes a flexible input dashboard, monthly liquidity tracking, automated break-even analysis, and integrated scenario/sensitivity testing tools to support ongoing financial oversight.